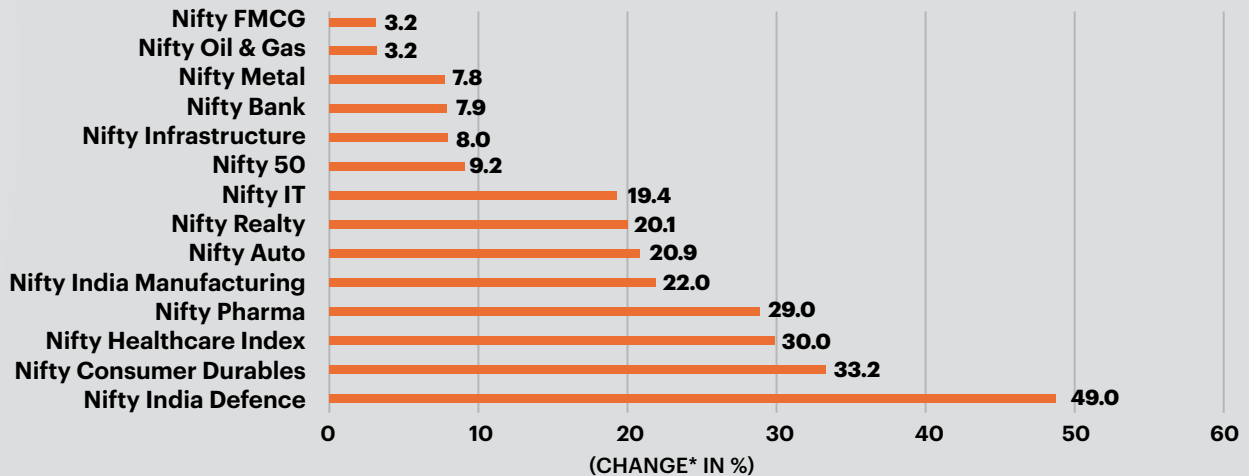


SECTORAL SHOWING

• The government's continuous focus on the defence sector helped the Nifty India Defence index outperform since the Interim Budget in 2024 • The Nifty FMCG index witnessed subdued performance due to sluggish demand and inflationary pressures



NOTE DATA TILL JANUARY 8, 2025; *CHANGE OVER FEBRUARY 1, 2024 (INTERIM BUDGET)

SOURCE ACE EQUITY

the current ₹5,000. It also proposes doubling the deduction for health insurance premiums to ₹50,000 under Section 80D and incentivising medical value travel for the healthcare sector to contribute to India's foreign exchange earnings.

MANUFACTURING

The manufacturing sector has seen multiple schemes in the recent past, including Make in India. With the government targeting 25% of economic output from this segment over the long term, the country's industrial policy might broaden in the upcoming Union Budget.

Bansal of ASK Investment Managers, says, "There could be schemes for export-oriented sectors like electronics and textiles in this year's Budget, as the country looks to boost its share in global trade. India has stiff commitments for carbon-emission reduction, and hence, the renewable energy sector and the energy transition space could get more incentives."

Defence and housing have also been priorities, and Bansal expects that they will continue receiving higher budgetary support. The government allocation to the Ministry of Defence increased to ₹6.22 lakh crore in 2024 from ₹2.85 lakh crore in 2014.

CONSUMER GOODS

In the last quarter, consumer demand, particularly in urban areas, dropped. Motilal Oswal Financial Services cites adverse weather conditions, such as floods and heavy rains in certain areas, along with persistent inflation, as contributing factors. To stimulate urban consumption, Sidana of Religare Broking says the government may introduce targeted tax cuts, increase disposable incomes, and rationalise GST rates on consumer goods, boosting demand and benefiting consumer-orientated industries.

Sidana believes the Budget should address food inflation by lowering import duties on essential food items, optimising agricultural supply chains, and investing in cold storage and transportation infrastructure to reduce waste. These initiatives, if successfully implemented, could have a positive impact on sectors such as agriculture, FMCG, and help improve consumption.

Additionally, the Budget may prioritise addressing bottlenecks through ease-of-doing-business reforms, accelerating project approvals, and expanding the Production-Linked Incentive (PLI) scheme to more sectors, particularly MSMEs, he says. "Such measures could also provide a significant boost to companies in capital goods, infrastructure, cement, and metals."